#10 · 3.1% of marks

Ind AS 23 — Borrowing Costs

Capitalise borrowing costs **directly attributable** to a **qualifying asset** — **mandatory**, not a choice. Everything else → P&L.

1 Definitions 5 - 7

- → ***Qualifying asset***: *necessarily takes a **substantial period** to get ready for intended use / sale (judgement; no fixed months in the standard) — plants, power stations, investment property, intangibles, inventories needing long production*
- → ***Not** qualifying: assets ready when acquired; financial assets; inventories produced over a short period*
- → ***Borrowing costs** include: interest via **EIR** (Ind AS 109), interest on **lease liabilities** (Ind AS 116), **exchange differences** on foreign-currency borrowings **to the extent regarded as an adjustment to interest cost** 6(e)*
- → ***Cost of equity** (incl. preference shares classified as equity) is **not** a borrowing cost*

Exchange difference cap 6A

*Adjustment to interest = (interest on equivalent **local-currency** borrowing) − (actual foreign-currency interest). Exchange loss capitalised up to that difference; rest → P&L. Gain / loss computed **cumulatively** — a later gain reverses earlier capitalised loss only up to that amount.*

2 Optional scope exclusions 4

- → *Qualifying assets measured at **fair value** (e.g., biological assets)*
- → ***Inventories** manufactured in **large quantities on a repetitive basis***

3 How much to capitalise 10 - 15

Borrowing	Amount capitalised
Specific	***Actual** borrowing costs **less** investment income on **temporary** investment of unspent funds*
General	***Capitalisation rate** × expenditure on the asset (weighted for time). Rate = weighted average cost of general borrowings, **excluding** specific ones **until the asset is substantially complete** (2019 amendment)*

- → *Amount capitalised **≤ borrowing costs actually incurred***
- → *Expenditure = cash paid, assets transferred, interest-bearing liabilities assumed — **reduced by progress payments & grants** 18*

NUMERICAL

4 Commence · Suspend · Cease 17 – 25

Stage	Rule
Commence	When **all three**: expenditure incurred + borrowing costs incurred + activities to prepare the asset undertaken (incl. technical / admin work before construction, e.g., permits)
Suspend	During **extended** periods when **active development is suspended**. **Not** for temporary delays that are a necessary part of the process (e.g., high water levels typical of the region) or when substantial technical / admin work continues
Cease	When **substantially all** activities to prepare the asset are **complete** (minor modifications / decoration left). Parts completed & usable while rest continues → cease for **that part**

⚠ TRAP

Holding **land** without development activity → **no** capitalisation (land itself isn't qualifying once development stops). Strike / dispute halting work for months → **suspend**. Monsoon break normal for the area → **don't suspend**.

5 Worked example — general borrowings

General borrowings outstanding all year	Interest
₹500 L at 10%	₹50 L
₹300 L at 12%	₹36 L
Capitalisation rate = 86 / 800	**10.75%**

Expenditure on qualifying asset	Weighted
₹200 L on 1 Apr (12/12)	₹200 L
₹240 L on 1 Oct (6/12)	₹120 L
Weighted expenditure	**₹320 L**
Capitalised = 320 × 10.75%	**₹34.4 L** (≤ ₹86 L actual ✓)

6 Links & AAA

- → **Ind AS 16 / 38 / 2** — capitalised into cost; **Ind AS 109** — EIR basis; **Ind AS 116** — lease interest; **Ind AS 101** — option to retain previous-GAAP capitalised amounts
- → **Ind AS 20** — grants reduce expenditure base
- → AAA: **CARO 3(ix)(c)** term loans applied for purpose; **3(ix)(d)** short-term funds not used for long-term purposes; SA 540 judgement on "substantial period" / suspension

✍ Write in exam

"As per para 20 of Ind AS 23, an entity shall suspend capitalisation of borrowing costs during extended periods in which it suspends active development of a qualifying asset; however, capitalisation is not suspended when a temporary delay is a necessary part of the process of getting the asset ready (para 21)."